

Micron Technology, Inc.

MU NASDAQ

Buy \$930.05 ▼ 4.64% 12M Price Target \$1150.00 52-Week Range \$154.65 – \$1255.00

Market Cap \$1.05T

MU: AI Spending Doubts Hit, But CHIPS Act Tailwind Intact

WHAT HAPPENED

- MU dropped ~5% today on a broader AI selloff — the trigger was AI industry leaders (including some big-name CEOs) publicly calling for a "slowdown" on AI deployment for safety reasons, which spooked the whole semiconductor complex. Trump pushed back publicly saying "don't fear AI," but the damage was done for the day.
- GuruFocus flagged that Micron's own \$50B revenue forecast is now being questioned — investors are asking "is AI capex really going to keep growing at this pace?" That's the core anxiety hitting every memory and chip name right now.

WHY IT MATTERS

Here's what today actually means: this wasn't a MU-specific problem — it was the market getting nervous that the AI spending boom (which drives high-bandwidth memory demand, MU's most profitable product) might slow down. But zoom out: MU is still up massively from its 52-week low of \$154, sitting at 70% of its range, which tells you the multi-year trend is intact. The unusual call buying today at \$910-920 strikes is a tell — someone with size is betting this pullback is a dip to buy, not the start of a top. The bigger picture: as long as Nvidia keeps shipping GPUs (and every GPU needs MU's HBM memory), the demand story stays alive regardless of one bad news day about AI safety.

POLICY & POLITICAL WATCH

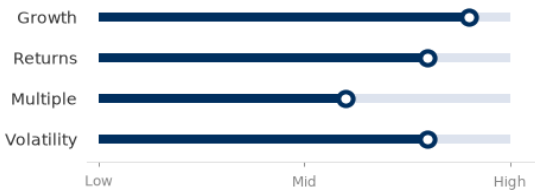
The CHIPS Act remains MU's biggest political tailwind — they've been awarded roughly \$6.1B in direct funding to build fabs in Idaho and New York, and the Trump administration has kept those commitments intact even while renegotiating other terms. Watch two things: (1) any expansion of China export controls on advanced memory (HBM specifically) — this is a double-edged sword because it hurts MU's China revenue but crushes their Korean competitors Samsung and SK Hynix more, and (2) the ongoing tariff framework with China, where any escalation could actually help MU as customers shift orders to a US-based supplier. If Congress advances any additional semiconductor onshoring incentives this fall, MU is first in line.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$930.05
12M Price Target	\$1150.00
Upside / (Downside)	+23.6%
Market Cap	\$1.05T
FY2026E Revenue	\$51,000M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$19.75
Fwd P/E	64.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$960.00	\$850.00
6 Months	\$1300.00	\$1100.00	\$800.00
1 Year	\$1500.00	\$1150.00	\$750.00
2 Years	\$1800.00	\$1400.00	\$700.00
5 Years	\$2500.00	\$1800.00	\$600.00
10 Years	\$4000.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.26%) and defensive names like Healthcare and Consumer Staples — classic risk-off rotation as tech gets sold. Money is hiding in dividend payers and less volatile mega-caps today.

COOLING OFF: Semiconductors and high-beta AI plays — the "AI safety" narrative gave nervous investors an excuse to take profits after a huge run. Energy is also weak on demand concerns.

ROTATION WATCH: Classic "sell what worked" day — money is rotating out of AI winners (semis, hyperscalers) and into defensives. This usually reverses within days when a big AI earnings print or contract announcement reminds people the trend is real.

RELATED PLAY: If you like MU's setup but want less volatility, look at the equipment makers (AMAT, LRCX) — they sell picks-and-shovels to every memory fab regardless of who wins the HBM race.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Comm Services strength today — investors treating it as a safer AI proxy with a real cash-flow business underneath
- LLY (Eli Lilly): Healthcare bid — classic flight-to-quality on a risk-off tech day

MU CONTEXT: MU is lagging today because it's pure AI-cycle exposure — no defensive cash flows to cushion the fall. But that's also why it leads on the way up. Today's underperformance is noise, not signal — the question is whether HBM demand holds, and today's news doesn't change that.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup, but I'm not pounding the table at \$930 after a huge run; I'd rather add on weakness than chase.

POSITION SIZE: 3-5% of portfolio — the upside is real but memory stocks can drop 30% in a month when sentiment shifts, so size accordingly.

ENTRY POINTS: \$880-920 on AI-fear pullback days like today; if we get a broader tech correction to \$800, that's a table-pounding buy.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is HBM4 volume ramp and confirmation that hyperscaler 2027 capex guides are up, not flat.

WHEN TO BAIL: If HBM pricing rolls over more than 20%, if Samsung announces a major HBM4 capacity push that threatens MU's share, or if China export rules expand to block MU's HBM shipments entirely.

HEDGING: Buy a protective put ~10% below your cost basis — think of it as insurance that pays off if the stock crashes. Or pair MU with a short in a more expensive AI name (like SMCI) so you profit if the AI trade unwinds across the board.